

Spending volatility could be measured more generally as annual spending changes, including increases and decreases, but we do not wish to penalize a strategy that supports spending increases over time. This is the reason for focusing only on the spending reductions.

Risk-averse retirees will accept a strategy with lower but more stable spending over retirement, compared to a strategy that might support higher average spending, but with greater volatility and more occasions for annual spending to dip to uncomfortably lower levels. Two spending patterns like this are displayed in Exhibit 6.3. The more risk averse will prefer the lower average, less volatile path, while those with more flexibility and risk tolerance might be willing to accept the higher average but more volatile spending path.

Exhibit 6.3

Acceptable Spending Volatility

